

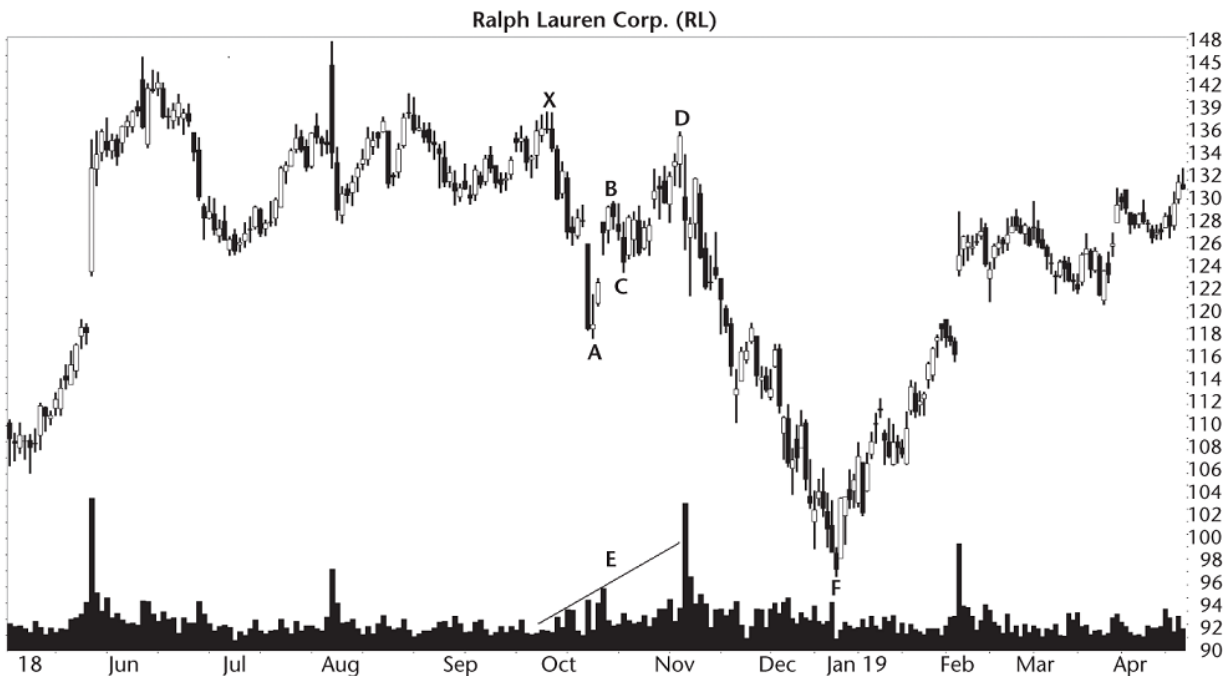


Figure 4.1 The five turns, X, A, B, C, and D, complete the bearish bat.

A swing trader taking a position just after D forms and watching the stock go all the way down to F might start dreaming about bats. Maybe even build some bat houses and hang them on his (or her) property. Here's a hint: a nearby pond is a plus. Let's return to trading bats. First, we have to find them.

Identification Guidelines

Table 4.1 shows identification guidelines. The guidelines are similar to other Fibonacci-based patterns except the turns may use different numbers.

Figure 4.2 shows another example of a bearish bat.